

7.2 TRADE BARRIERS

Multiple Choice Questions

1990/AL/II/22

The major difference between a quota and a tariff on imports lies in their effects on

- A. wealth redistribution.
- B. domestic production.
- C. domestic consumption.
- D. the price level.

1994/AL/II/30

Tariffs protect _____.

- A. consumers
- B. the import-competing industries
- C. the export industry
- D. both the import-competing and the export industries

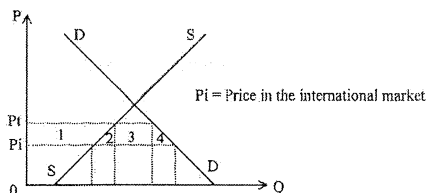
1996/AL/II/29

Which of the following is **NOT** the effect of imposing tariffs?

- A. The quantity of imports is reduced.
- B. The amount of deadweight loss is greater than the total loss of consumer surplus of local consumers.
- C. Local consumers consume more domestically-produced import-competing goods.
- D. Domestic production in import-competing industries will increase.

1998/AL/II/28

Consider a small country imposing a tariff on an import. The diagram below shows the country's supply of and demand for the good.



If the tariff rises the domestic price of good from P_i to P_t , then

- A. the consumers will lose areas 2, 3, 4.
- B. the whole country will lose areas 1, 2, 3 and 4.
- C. the tariff revenue collected by the government is areas 1, 2 and 3.
- D. None of the above.

1998/AL/II/29

Which of the following is **NOT** a result of the imposition of quotas on imports?

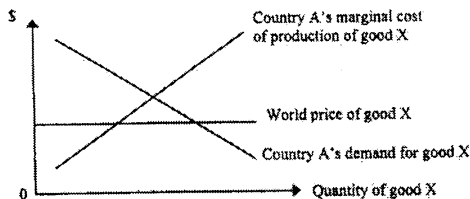
- A. a decrease in the quantity of imports.
- B. an increase in the total expenditure on imports.
- C. an increase in import prices.
- D. an increase in domestic production.

1999/AL/II/21

A major difference between a quota and a tariff on imports lies in their effects on

- A. the price of imports.
- B. the quantity of imports.
- C. domestic production of import substitutes.
- D. wealth distribution.

2000/AL/II/26



Given that the world price of good X is fixed, if country A's marginal cost of production of good X increases, which of the following statements are correct?

- (1) The total production of good X in country A will fall.
 - (2) The quantity of good X imported by country A will increase.
 - (3) The consumer surplus of good X in country A will fall.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

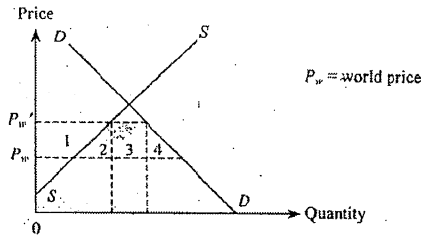
2001/AL/II/11

A small country imposes tariffs on good X. Suppose the demand of the country for good X increases,

- (1) the government revenues from tariffs will increase.
 - (2) the price of good X in the country will rise.
 - (3) the consumption of good X in the country will increase.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2004/AL/II/25

Consider a country imposing a quota on an import. The diagram below shows the country's supply of and demand for the good.

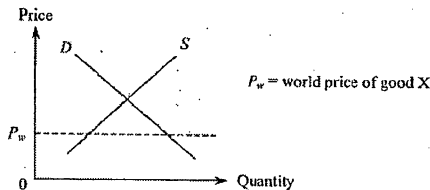


If the quota raises the domestic price of the good from P_w to P_w' ,

- A. total loss in consumer surplus is equal to the sum of areas 1, 2 and 3.
- B. total quota rent is equal to area 3.
- C. total deadweight loss is equal to area 4.
- D. None of the above.

2004/AL/II/26

A country imposes a tariff on good X. Which of the following will be a result of the tariff?



- A. The domestic production of good X will decrease.
- B. The domestic price of good X will increase.
- C. Total expenditure on the import of good X will decrease.
- D. The quantity of import of good X will increase.

2007/AL/II/25

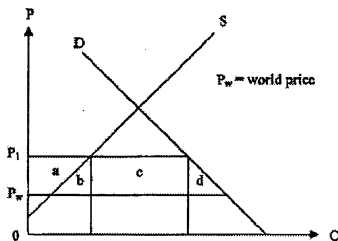
Consider a small open economy with an import quota imposed on a good. If the domestic cost of production for the good increases,

- (1) the domestic price of the good will rise.
- (2) the quantity of the good consumed domestically will fall.
- (3) the quantity of the good produced domestically will remain unchanged.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2009/AL/II/25

Suppose a country imposes a quota on an imported good. The diagram below shows the country's supply of and demand for the good.



If the quota raises the domestic price of the good from P_w to P_1 ,

- A. the loss to the consumers is area a.
- B. the gain of local producers is area a.
- C. the loss to the country is the sum of areas b, c and d.
- D. the quota rent earned by the government is the sum of areas b, c and d.

2009/AL/II/26

An export subsidy will

- (1) reduce the price of exports of the domestic country.
 - (2) increase the quantity demanded for exports by foreign consumers.
 - (3) improve the trade balance of the domestic country.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2010/AL/II/27

If a small country reduces the tariff rate of its imported good X,

- A. the local producers will reduce their production.
- B. the producer surplus of the local producers will increase.
- C. the tariff revenue of the government will decrease.
- D. the world price of good X will decrease and its import volume in the country will increase.

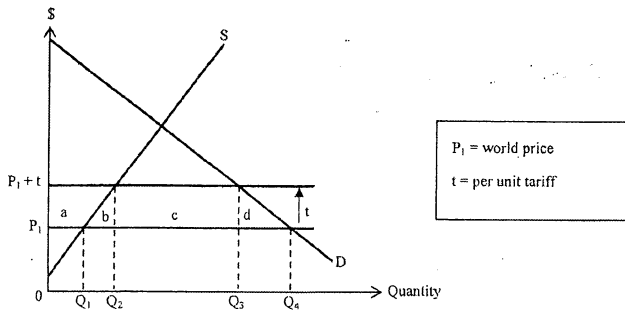
2012/AL/II/24

A small open economy imposes a tariff on imported good X. If the local supply of good X in the economy increases and replaces some of the imports,

- (1) government revenue from the tariff will fall.
 - (2) the deadweight loss will remain unchanged.
 - (3) the price of good X in the economy will fall.
 - (4) the producer surplus of the local suppliers will rise.
- A. (1) and (2) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (2) and (4) only

2014/DSE/I/45

The following diagram shows the imposition of an import tariff on a good in a small open economy. After the imposition of the tariff, which of the following statements about the good in this economy is **INCORRECT**?



- A. The volume of imports is $(Q_3 - Q_2)$ units.
- B. The domestic consumption is Q_3 units.
- C. The increase in producer surplus of the domestic producers is area a.
- D. The total amount of tariff is the sum of areas b, c and d.

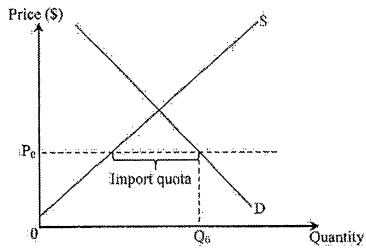
2015/DSE/I/45

The supply curve of a certain good is upward-sloping in a small open economy. What is the main difference between imposing an effective import quota and a tariff on the good?

- A. Imposing an effective import quota will lower the volume of import while imposing a tariff will not.
- B. Imposing an effective import quota will result in a rise in consumer surplus of the good while imposing a tariff may not.
- C. Imposing a tariff will raise the world price of the good while imposing an effective import quota will not.
- D. Imposing a tariff will result in an increase in the government revenue while imposing an effective import quota may not.

2016/DSE/I/42

Refer to the following supply-demand diagram about Good X in a small country.

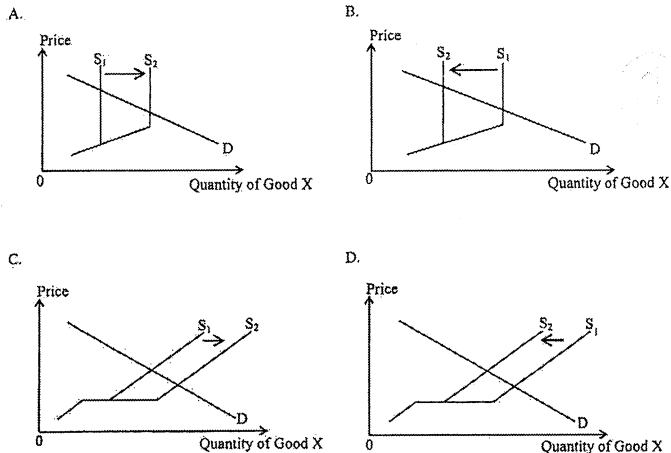


The country has imposed an import quota on Good X and the price and quantity transacted are P_0 and Q_0 respectively. If the demand for Good X in the country increases,

- (1) the import volume will increase.
 - (2) the price of Good X in the country will increase.
 - (3) the quantity sold of Good X in the country will increase.
- A. (1) and (2) only
 B. (1) and (3) only
 C. (2) and (3) only
 D. (1), (2) and (3)

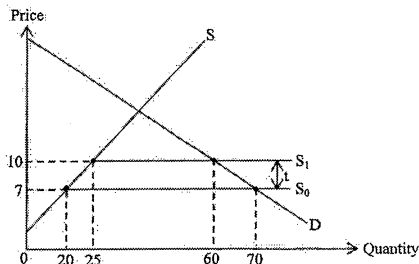
2017/DSE/I/42

A small open economy increases the import quota for Good X. Which of the following diagrams best illustrates the effect of this change?



2018/DSE/I/41

The following diagram shows an imposition of import tariff on a good of a small open economy.



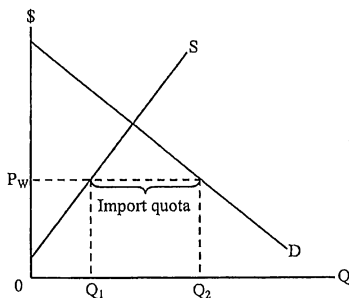
Referring to the above diagram, which of the following statements are correct after the imposition of import tariff (t)?

- (1) The total amount of tariff received by the government is \$105.
- (2) The revenue of domestic producers will increase by \$110.
- (3) The volume of imports drops by 15 units.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2019/DSE/I/43

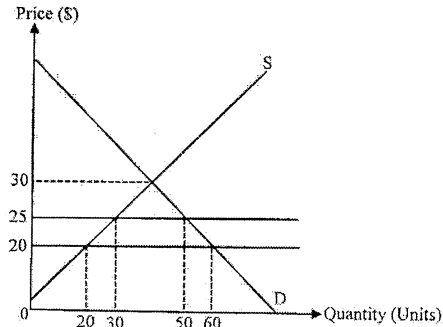
The following is the supply-demand diagram of Good X in a small open economy.



Initially the economy imports Good X at the world price (P_w) and the government imposes an import quota of $(Q_2 - Q_1)$ units. Suppose the world price of Good X drops. Which of the following statements is correct?

- A. The domestic price of Good X will remain at P_w .
- B. The domestic price of Good X will fall.
- C. The domestic supply curve will shift to the right.
- D. The quantity of domestically produced Good X will increase.

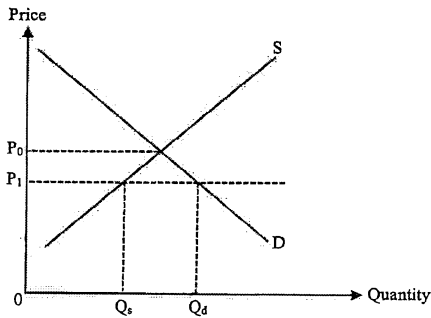
Suppose the world price of soybeans is \$20. A small open economy imposes a per unit tariff of \$5 on imported soybeans. The diagram below shows the economy's supply and demand curves of soybeans.



Which of the following statements about soybeans is correct?

- A. The total revenue of domestic producers is \$400 after the imposition of tariff.
- B. The total import value inclusive of tariff is \$500.
- C. If the tariff is raised to \$15, this economy will become an exporter of soybeans.
- D. If the tariff is abolished, the total import value will be \$400.

The diagram below shows the market situation of Good X in a small open economy.

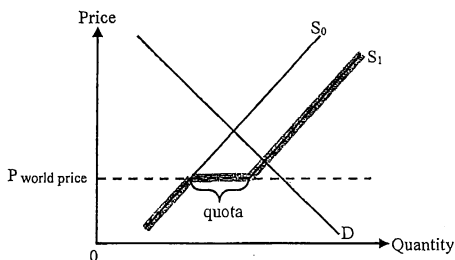


P_0 is the price before trade and P_1 is the price after trade. Which of the following statements about Good X are correct after the economy opens up for international trade?

- (1) The total expenditure on Good X of domestic consumers would be $P_1 \times Q_d$.
 - (2) The value of domestically produced Good X would be $P_1 \times Q_s$.
 - (3) The shortage of Good X would be $Q_d - Q_s$.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2022/DSE/I/44

The diagram below is about a small open economy imposing an import quota on Good X.

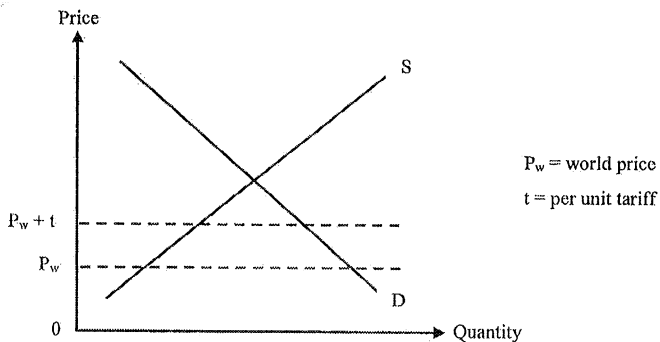


If the world price of Good X drops,

- A. the quota will become ineffective.
- B. the quantity of Good X produced domestically will decrease.
- C. the quantity of Good X consumed domestically will increase.
- D. the domestic price of Good X will remain unchanged.

2023/DSE/I/43

The diagram below shows the market of Good X in a small open economy. The economy has imposed a per unit tariff on Good X.

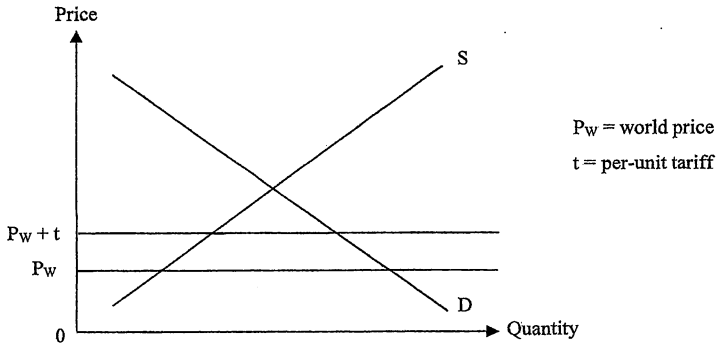


If the world price of Good X decreases, _____.

- A. the tariff revenue of Good X will remain unchanged
- B. the domestic price of Good X will increase
- C. the quantity of Good X consumed domestically will remain unchanged
- D. the quantity of Good X produced domestically will decrease

2024/DSE/I/43

The diagram below shows the market of Good X in a small open economy. A per-unit tariff is imposed on Good X in the economy.



If the world price of Good X increases, _____.

- A. the domestic price of Good X will remain unchanged
- B. the import value net of tariff of Good X will increase
- C. the quantity of Good X produced domestically will increase
- D. the tariff revenue of Good X may increase

2025/DSE/I/18

Due to poor harvests of oranges, many juice producers use other fruits such as mandarins as an alternative ingredient to produce juice.

Based on the above information, which of the following is correct?

- A. There is a deadweight loss in the market of oranges.
- B. The total revenue of orange sellers may increase.
- C. The total social surplus in the market of mandarins decreases.
- D. The total exchange value of mandarins may decrease.

2025/DSE/I/43

A small open economy has imposed an effective quota on imported red wine. If the world price of red wine decreases, _____.

- A. the volume of red wine imported by the economy will increase
- B. the quantity of red wine domestically produced in the economy will increase
- C. the quantity of red wine consumed in the economy will remain unchanged
- D. the price of red wine sold in the economy will decrease

Short & Structured Questions

1993/AL/II/5

With the aid of diagrams, compare the income redistributive effects on a country imposing tariffs and quotas on its imports. (8 marks)

1995/AL/II/8

With the aid of one diagram only, answer (a) and (b).

- A small country wishes to protect its industry X by restricting the import of good X to a given quantity. Show that this can be achieved by imposing either a quota or a tariff on good X. (3 marks)
- Suppose the demand of the small country for good X increases but the quota or the tariff rate imposed remain unchanged. Compare the impact of this increase on the domestic price, import volume and consumer surplus of good X under the quota system and the tariff system. (7 marks)

2001/AL/II/4

With the help of a diagram, explain how the imposition of tariffs affects the producer surplus, the consumer surplus and the welfare of a small country. (8 marks)

2011/AL/II/1(d)

Name one similarity and one difference between the following pairs of terms:
tariff; quota

(3 marks)

2021/DSE/II/9

A small open economy imports junk food from other countries although such food is also produced by local manufacturers. During economic recession, local people consume more junk food. To improve public health, the government imposes an effective quota on the imported junk food.

- Explain whether junk food is a normal good or an inferior good in the economy. (2 marks)
- With respect to the imposition of an effective quota during economic recession, indicate the amount of quota as Q_A and the final equilibrium point as E_A in Figure 1. (4 marks)

